Why might tax holiday on food service be a good policy? Evidence from Canada

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1 Introduction

How will labor demand respond to a sales tax holiday? While there are ample studies that focused on the effect of income tax holiday on the labor supply and the effect of sales tax on consumption, there is a lack of literature on the effect of a sales tax holiday on labor demand. The exogenous shock of an temporary 2 months tax holiday implemented by the Trudeau administration on restaurant meals and children essentials provided an opportunity for me to investigate.

Previous studies on income tax holiday mainly focused on a crucial question: whether people respond to a higher marginal benefit of working by supplying more labor? Even though *homo economicus* would predict a surge in labor supply during the tax break using a classic intertemporal leisure consumption model, which people works more during the tax break and work less after the tax break. However, recent literature found little and also heterogeneous response from workers in general which can be attribute to inelastic preferences or adjustment friction. Martinez, Saez and Siegenthaler (2018) found a quantitatively very small responses of wage earnings with an inter-temporal elasticity of 0.025 overall across Swiss cantons when they employed an effective income tax cut for 2 years. Sigurdsson (2024) found similar results of income tax break in Norway. Only a third of employed workers reacted to the tax holiday, even when most of the workers are aware of this policy.

On the other side, some evidences suggested consumption is very responsive to sales tax, especially when it comes to durable goods. Agarwal et. al (2017) found temporary sales tax holiday increased consumption on apparel by 41 percent relative to typical daily spending in

the United States. Mogab et. al (2007) found sales tax holiday are not only highly popular, but are also crucial to shopping decisions, especially for families with annual income between 10 to 40 thousand USD in 2007 (now 16 to 63 thousand USD). These findings are consistent with the typical intertemporal new classical model which people pull forward their spending during the tax holiday, and lowers their consumption next period. However, there might not be an intertemporal substitution effect because it is nearly impossible to pull forward restaurant meals. Hence this makes it not so clear if this policy would cause an surge in demand in restaurant meals, and if restaurant respond to a potential surge in demand by allocating more labor resources than usual.

Noting that only labor demand and not labor supply should respond to this policy due to a potential surge in demand of relevant items and services. Using Canada's national Labor Force Survey, I investigated if this policy cause employers to allocate more labor resources by asking their current employees to work more during the tax holiday in the food and service, retail and nondurable goods manufacturing sector. In addition, since there is heterogeneity across provinces in intensity of tax break, I also investigated if the effect of the policy differs across provinces.

2 Policy Background

On November 21th of 2024, The Department of Fiance of Canada announced a tax holiday policy, waiving the Goods and Services Tax/Harmonized Sales Tax (GST/HST) on essentials such as groceries, resturant meals, drinks, snacks, children's clothing, and gifts, from December 14, 2024, to February 15, 2025. This policy was aimed to "give Canadians more money in their pocket"[1], as phrased in the news release on the official web page of Canada's Prime Minister, who was Justin Trudeau at the time.

To be specific about the exact categories of items are exempted from being taxed, they removed GST/HST charges on the following categories:

1. **Foods**: Most of the grocery items are already untaxed, the newly and temporarily untaxed items are prepared food, and snacks.
2. **Beverages**: Non alcoholic drinks such as tea, coffee, carbonated drinks, juices, smoothies; alcoholic drinks such as beer, wine and ciders are untaxed during the break.

[1]Press release about the Tax Break from the Prime Minister of Canada

3. **Catering**: Meals that was provided, prepared and served by the restaurant.
4. **Children Essentials**: Children's clothing, diapers, toys and puzzles.
5. **Entertainments**: Videogame Consoles, controllers, physical video games, physical books and printed newspapers.
6. **Christmas Trees**: Natural and artificial trees.

There is also heterogeneity in the intensity of tax break across provinces depending on their provincial tax system. The provinces consistent with a harmonized sales tax system removes the whole HST (tax break intensity is around 13 to 15 percentage points), which includes Ontario, New Brunswick, Newfoundland and Labrador, Nova Scotia and Prince Edward Island. Other provinces followed the separate tax system and hence only the GST is removed (about 5 percentage points), leaving most of the provinces with about 7% of sales tax still in place during the break.

Readers should note that GST and HST taxes are excluded from the price in Canada, and are only visible when customers pay. Hence business won't be able to take advantage of customers who were unaware of this policy simply by not lowering their price, which is what Benzarti and Carloni (2019) have found in France, which the price includes the tax. The firm owners in France benefited more than 55 percent of the VAT cut by lowering a disproportionally low amount, making the consumers benefiting the least form a tax cut.

3 Data

3.1 Data Source

The dataset of use in this study is the public use micro file Canadian Labor Force Survey (LFS) from 2022 February to 2025 February, which is a pooled cross sectional survey that is highly representative of the labor market of Canada. The LFS uses telephone interview, in-person interview, and electronic questionnaire collection methods. Statistics Canada is the main agency that collects LFS information from the working age population, aged 15 or older.There are about 3.9 million observations recorded within the time span of this study's interest. The unit of observation is a person in a month in a province.

3.2 Summary Statistics

As I will be focusing on average hours worked and average overtime hours, it is good practice to know their average and variance across workers to understand the magnitude of the causal effect. Looking at Table 1, for an average Canadian worker, the average hours worked is 32.08 and average overtime is 1.45, with a standard deviation of 15.90 and 4.46 hours respectively.

Speaking generally about the labor market of Canada. From Table 1, about 56% of the Canadians are employed, 3.7% are unemployed, 34% are out of labor force. Approximately 18% of the employed Canadians are working part time, and 5.6% have multiple jobs. Working tenure is approximately 88.16 months, with a standard deviation of 82.53 months.

Table 2 describes statistics conditional on the 3 sectors the study is interested in. On average, the sector that has the highest average working hours is manufacturing of non-durable goods, followed by retail and accommodation and food services. In terms of overtime, manufacturing of non-durable goods sector also comes out top followed by retail and accommodation and food services.

4 Empirical Strategy

4.1 Identification Method

The main identification strategy is to employ a Difference in Difference in Difference(DDD) method. However, this DDD model is not a traditional DDD model representyed by the work of Olden and Møento (2022) that is aimed to prevent spillover effects of the treatment from the treated group to the control group by setting up two more groups in another population that was not subjected to the policy: one that also represents the control group, and another group that is qualified for treatment but does not receive the treatment because the policy was not implemented there. If the researchers believe there are no spillover effects between the 2 population, then the population that was never subjected to the treatment represents a good counterfactual.

In my model, the first difference is the difference prior and during tax break. The second difference is the difference between the treated and control sectors. The third difference is the difference between $High$ and non $High$ provinces. Hence it is easy to see that my

DDD model only have one layer of counterfactual rather than two since all provinces are treated, but varies in intensity. This implies the model itself cannot control for spillover effects. Hence all control sectors that was chosen to serve as counterfactual of the treated sector are sectors that is not plausible to experience spillover effects, which I detailed in the next subsection.

The general specification is as follow:

$$\begin{aligned} Y'_{ipt} = \alpha &+ \beta_1 TaxBreak_t \times High_p \times TreatedSector_{ipt}^{Control} \\ &+ \beta_2 TaxBreak_t \times TreatedSector_{ipt}^{Control} \\ &+ \beta_3 TaxBreak_t \times High_p + \beta_4 TreatedSector_{ipt}^{Control} \times High_p \\ &+ \beta_5 TaxBreak_t + \beta_6 High_p + \beta_7 TreatedSector_{ipt}^{Control} + X'_{ipt}\gamma + \epsilon_{ipt} \end{aligned}$$

Where Y'_{ipt} is the a vector of interested outcome variable of a individual in a month, that can be average hours worked in a week or average overtime hours in a week. $TaxBreak_t$ is a dummy variable that is 1 when the break is active, and 0 before the break. $High_p$ is a dummy variable that is 1 when the province remove the HST, and 0 when the province remove the GST. $TreatedSector_{ipt}^{Control}$ is a dummy variable that is 1 if they work in the sector that is affected by the tax break, and 0 if they work in a particular sector $Control$, that is plausibly unaffected by the tax break and also satisfy the parallel trend assumption. X'_{ipt} is a vector of control variables that is unique to an individual. ϵ_{ipt} is the error term.

What this paper will mainly focus on is β_1 and β_2, which β_2 represents the causal effect of the tax break on the treated sector in the non $High$ provinces that only waived 5 percentage points of the tax (GST). $\beta_1 + \beta_2$ represents the causal effect of the tax break on the treated sector in $High$ provinces that waived 13-15 percentage points of the tax (HST). This by construction implies β_1 is the difference in effect between the $High$ and non $High$ provinces.

4.2 Parallel Trend Assumption

One of the advantage of the DDD model is it only requires the relative outcome of the affected sector and unaffected sector to be parallel before the treatment under this context. To find an appropriate counterfactual I matched the affected sectors (Accommodation and Food Service, Retail and Non durable goods manufacturing) with unaffected sector that has the highest correlation to serve as its counterfactual. I ruled out some other sectors that may have higher correlation with these 3 policy affected sectors due to possible spillover

effects like wholesale trade and durable goods manufacturing. The method of use to measure correlation is the Pearson correlation method, defined as:

$$r = \frac{\sum_{t=1}^{T}(x_t^{treated} - \overline{x}^{treat})(x_t^{matched} - \overline{x}^{matched})}{\sqrt{\sum_{t=1}^{T}(x_t^{treated} - \overline{x}^{treated})^2 \sum_{t=1}^{T}(x_t^{matched} - \overline{x}^{matched})^2}}$$

where T is the total number of pre-treatment months you have before December 2024. t is a specific month in that sequence. $x_t^{treated}$ is the outcome of an interested variable during month t of an affected sector and $x_t^{matched}$ is the outcome of an interested variable during month t of an unaffected sector that matched. $\overline{x}^{treat}$ is the average outcome of an interested variable and $\overline{x}^{matched}$ is the average outcome of an interested variable.

In the first three rows of Table 2, conditional on average working hours, the sector that has the highest correlation with **accommodation and food service** and **retail** is the construction sector. The sector that has the highest correlation with **non-durable goods manufacturing** is public administration sector.

In the last three rows of Table 2, conditional on average overtime hours, the sector that has the highest correlation with **accommodation and food service** remains construction. The sector that has the highest correlation with **non-durable goods manufacturing** is the finance and insurance sector. The sector that has the highest correlation with **retail** is the health care sector.

Figure 1, 2, 3, 4, 5 and 6 plots the best matched time series conditional on the outcome variable.

5 Results

Using the models I built in the last section, I estimated the causal effect of the tax break policy on labor demand. Note that the validity of the results hinges on the parallel trend assumption being satisfied, which will be discussed later.

In Table 4, I regressed average hours worked on the specification for the 3 sectors. Note since every sector only takes a proportion of the whole labor force, the sample size varies across sectors. Overall, I did not find statistically significant result of this policy except for the retail sector. This policy caused the workers in the retail sector to work about 45 minutes

more on average across all provinces, after holding constant individual characteristics and time fixed effects, this coefficient is statistically meeting the 5% level. In other words, during the tax break period, retail trade workers on average worked 45 minutes more than what they usually worked has there not been a tax break. I did not find any heterogeneity in policy effect across provinces with different tax break intensity (GST vs. HST). This effect have moderate practical significance, representing 5% of the standard deviation in total hours worked conditional on the retail sector.

As for other sectors, I cannot infer if the policy have any effect on labor demand because I failed to reject the null of 0. However, given how imprecise these estimates were, I cannot infer if the policy have precisely zero effect on them. Noting the fact that failing to reject the hypothesis that the effect is zero is far from inferring that the effect is precisely zero.

Shifting focus to Table 5, I regressed average overtime hours on the specification for the 3 sectors identical to Table 4. I found statistical significant result for the sector of accommodation and food service at 10% level, the workers in provinces that removed GST on average worked 30 minutes overtime, and this effect is reversed in provinces that removed HST, after holding constant individual characteristics and time fixed effects. In other words, provinces that waived more tax has no change in overtime hours, while provinces that waived less tax increased overtime by 30 minutes on average. This seems to be a counter intuitive answer, I tried to propose a few explanations to account for this result. This result is also highly practically significant, as a 30 minute increase in overtime is 60% of the standard deviation of overtime conditional on accommodation and food services sector.

As for other sectors, there seems to not be an effect of the policy on overtime hours as I cannot reject the null hypothesis that there is no effect. However, the estimation is imprecise like results in Table 5 and prevents me from inferring the policy have null effect.

6 Discussion of the results

In general, we observed heterogeneous effect of this policy on labor demand across different sectors. Some sectors reacted by elevating total hours worked of their employee, while other sectors have choose to make no changes on the allocation of labor resources. Since the tax break have no first order effects on firm side, but a second order effect passing from the customer side. It is not at all clear if firms would, if at all react to this tax break, even when I can safely assume that most firms are aware of this tax holiday.

In perspective of a restaurant knowing there might be elevated demand of their service during the tax break, it might suboptimal to ask their employees to work more if the marginal cost of paying the overtime wage is too costly. Another case could be the allocation of capital and labor of a restaurant is already optimal, and capital is fixed in the short run. This makes it very costly and inefficient for restaurant to increase labor resource. It could also be that restaurants are not at all at their capacity before the tax break, and hence does not expect their employees to be overwhelmed.

However, from Table 5, it also suggested workers in the non $High$ provinces also have higher overtime during the tax break. This seems contradictory to results in Table 4 which I observed no statistical significant change in total hours worked. Noting that working is considered overtime only when workers work more than 8 hours a day or more than 40-44 hours a week. Knowing the average total hours worked of the AFS sector is only 26.5 hours. Overtime is likely triggered by working above 8 hours within a single day. A plausible explanation of this might be workers flexibly adjust their working hours during the tax break. For example, staying late for retardant cleaning or stock preparation. Lastly, the heterogeneity in overtime between the $High$ and non $High$ provinces remians unknown with no proper explanations.

Table 5 suggested workers in retail across Canada worked more during the tax break by 45 minutes. This is not at all expected since the tax break only exempted very limited items in the retail sectors. However potential spillover effects from untaxed catering could be the cause. As retail sector is more concentrated than the catering services which are mostly atomistic firms, retail sector might have a better understanding of this tax break and hence take advantage of it. As more people choose to dine out, it increases the exposure of retail stores, hence allowing retails to free ride this policy.

Results show there is no statistical significant change in average working hours and overtime hours for non-durable goods manufacturing sector, which many items of this sector is untaxed during the tax break. A potential explanation for inaction could be that manufacturing requires less human resources relative to capital resources. Even if firms expect this tax break will increase demand of their product, it might require little additional human input to raise output.

7 Internal and External Validity

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8 Tables

Table 1: Descriptive Statistics

	Mean (1)	SD (2)	min (3)	max (4)	Observations (5)
Panel A. Labor Market Outcomes					
Real Hourly Earnings	21.50	11.72	2.60	144.72	2,107,458
Actual Hours (Main Job)	32.08	15.90	0.00	99.00	2,424,165
Job Tenure (Months)	88.16	82.53	1.00	240.00	2,424,165
Total Overtime Hours	1.45	4.46	0.00	99.00	1,922,431
Panel B. Individual Characteristics					
Male	0.50	0.50	0	1	3,921,088
Has Partner	0.58	0.49	0	1	3,921,088
Education: AboveBach	0.10	0.30	0	1	3,921,088
Education: Bach	0.20	0.40	0	1	3,921,088
Education: PostSec	0.38	0.48	0	1	3,921,088
Education: HighSch	0.19	0.39	0	1	3,921,088
Education: BelowHighSch	0.13	0.34	0	1	3,921,088
Panel C. Employment Status					
Employed, at work	0.56	–	0	1	3,921,088
Employed, absent from work	0.055	–	0	1	3,921,088
Unemployed	0.037	–	0	1	3,921,088
Part-Time Status	0.18	0.38	0	1	2,424,165
Multiple Jobs	0.056	0.23	0	1	2,424,165

Notes: This table presents the mean, standard deviation (SD), and the minimum and maximum values for the main variables used in the analysis. Panel A contains labor market outcomes for the active workforce. Panel B includes demographic characteristics. Binary variables (e.g., Male, Education categories) are represented as proportions ranging from 0 to 1. Observations for education and labor force status are based on the full sample of 3,921,088 individuals.

Table 2: Summary Statistics by Affected Sectors

Variable	Overall	Accommodation & Food Services	Manufacturing (Non-durable)	Retail Trade
	$N = 537,948$	$N = 147,356$	$N = 105,808$	$N = 284,785$
Panel A. Labor Market Outcomes		*Mean (Standard Deviation)*		
Actual Hours (Main Job)	29.40 (15.18)	26.53 (15.35)	35.51 (14.07)	28.47 (14.87)
Total Overtime Hours	0.81 (3.22)	0.53 (2.67)	1.68 (4.59)	0.61 (2.73)
Real Hourly Earnings	15.38 (8.82)	12.57 (5.10)	20.31 (11.08)	14.83 (8.48)
Panel B. Education		*Percentage (%)*		
Above Bachelor	5.0%	3.4%	8.0%	4.8%
Bachelor	15%	13%	19%	15%
Post-Secondary	38%	37%	39%	39%
High School	26%	27%	23%	28%
Below High School	15%	20%	11%	14%
Panel C. Demographics & Status		*Percentage (%)*		
Male	50%	45%	62%	48%
Has Partner	47%	34%	66%	46%
Part-Time Status	32%	45%	6.6%	35%
Multiple Jobs	5.3%	7.3%	3.6%	4.9%

Notes: This table compares descriptive statistics across the three sectors most likely to be affected by the policy change. Panel A reports means with standard deviations in parentheses. Panels B and C report the percentage distribution for categorical and binary variables. Percentiles (p1, p99) for continuous variables are available upon request but are omitted here for brevity.

Table 3: Best Counterfactual Sectors for Affected Sectors

Outcome Variable (1)	Affected Sector (2)	Unaffected Sector (3)	Correlation (4)
Hours Worked	Accommodation & food serv.	Construction	0.82
Hours Worked	Manufacturing non-durable	Public administration	0.81
Hours Worked	Retail trade	Construction	0.83
Overtime Hours	Accommodation & food serv.	Construction	0.31
Overtime Hours	Manufacturing non-durable	Finance and insurance	0.64
Overtime Hours	Retail trade	Health care	0.56

Notes: This table shows the best matched unaffected sector by correlation that serves as the counterfactual of the affected sector, conditional on the outcome variable of use. Column 4 gives the correlation between the 2 sectors, the higher the correlation is, the more parallel they are.

Table 4: OLS Estimation Results

	Dependent: Average Hours Worked		
Treated Sector:	**(1) AFS**	**(2) Retail**	**(3) Manuf. (N.D.G)**
High × Treated Sector × Tax Break	-0.346	-0.081	-0.438
	(0.279)	(0.387)	(0.481)
Treated Sector × Tax Break	0.379	0.764**	-0.037
	(0.256)	(0.365)	(0.461)
High × Tax Break	0.267	0.284	0.729***
	(0.323)	(0.317)	(0.092)
High × Treated Sector	0.269	0.222	0.736**
	(0.846)	(0.826)	(0.262)
Tax Break	0.049	-0.602	-0.717**
	(0.359)	(0.400)	(0.260)
High	0.058	0.085	0.253
	(1.017)	(1.016)	(0.374)
Treated Sector	-1.625**	-2.337***	3.164***
	(0.691)	(0.631)	(0.228)
Individual Characteristics	Yes	Yes	Yes
Month Fixed Effects	Yes	Yes	Yes
Year Fixed Effects	Yes	Yes	Yes
Observations	251,431	368,785	237,978
Adjusted R^2	0.386	0.376	0.128

Notes: Standard errors in parentheses are robust to heteroscedasticity and clustered at the province level. The "Treated Sector" variable corresponds to AFS in Column (1), Retail in Column (2), and ManufacturingNG in Column (3). Individual characteristics include education level, real hourly earnings, job tenure (and its squared term), part-time status, partner status, gender, and multiple job status.
$^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.

Table 5: OLS Estimation Results

	Dependent: Total Overtime Hours		
Treated Sector:	**(1) AFS**	**(2) Retail**	**(3) Manuf. (N.D.G)**
High × Treated Sector × Tax Break	-0.495*	0.237	-0.127
	(0.259)	(0.136)	(0.247)
Treated Sector × Tax Break	0.509*	-0.037	0.150
	(0.263)	(0.129)	(0.218)
High × Tax Break	0.420	-0.163	-0.076*
	(0.294)	(0.106)	(0.039)
High × Treated Sector	0.861	0.196	-0.133
	(0.619)	(0.113)	(0.087)
Tax Break	-0.313	0.108	0.061
	(0.209)	(0.088)	(0.055)
High	-0.897	-0.272**	0.115**
	(0.624)	(0.111)	(0.039)
Treated Sector	-0.836	-0.505***	0.757***
	(0.519)	(0.083)	(0.048)
Individual Characteristics	Yes	Yes	Yes
Month Fixed Effects	Yes	Yes	Yes
Year Fixed Effects	Yes	Yes	Yes
Observations	235,393	479,432	167,032
Adjusted R^2	0.052	0.035	0.043

Notes: Standard errors in parentheses are robust to heteroscedasticity and clustered at the province level. The "Treated Sector" variable corresponds to AFS in Column (1), Retail_OT in Column (2), and ManufacturingNG_OT in Column (3). Individual characteristics include education level, real hourly earnings, job tenure (and its squared term), part-time status, partner status, gender, and multiple job status.
$^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.

9 Figures

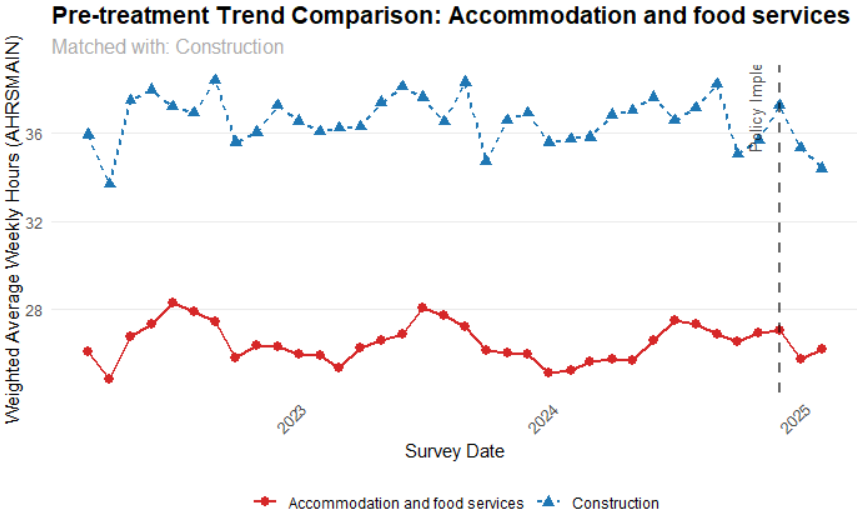

Figure 1: Parallel trend time series

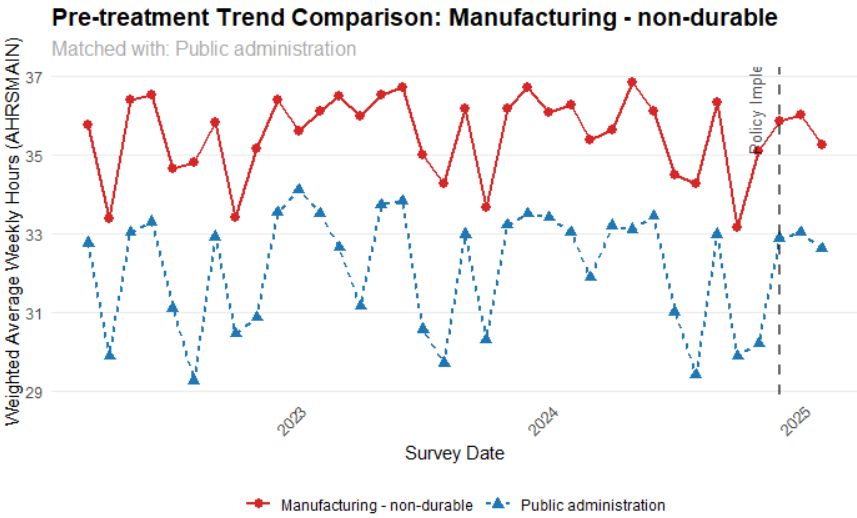

Figure 2: Parallel trend time series

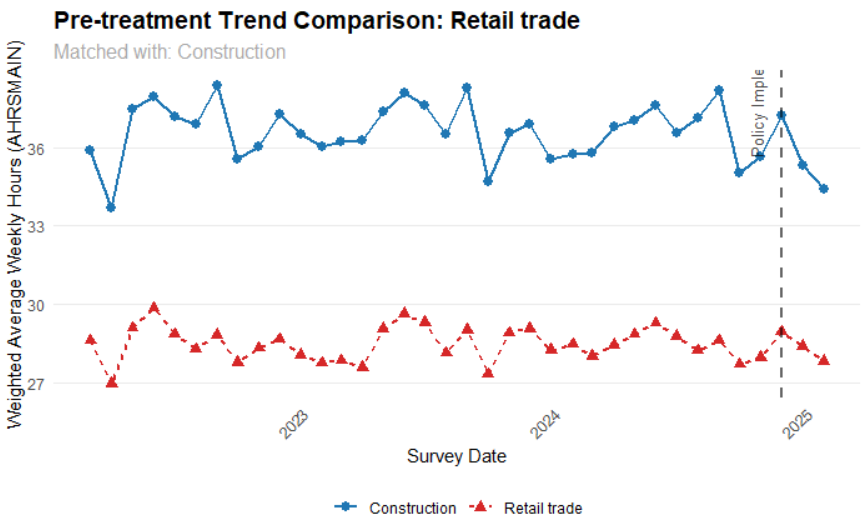

Figure 3: Parallel trend time series

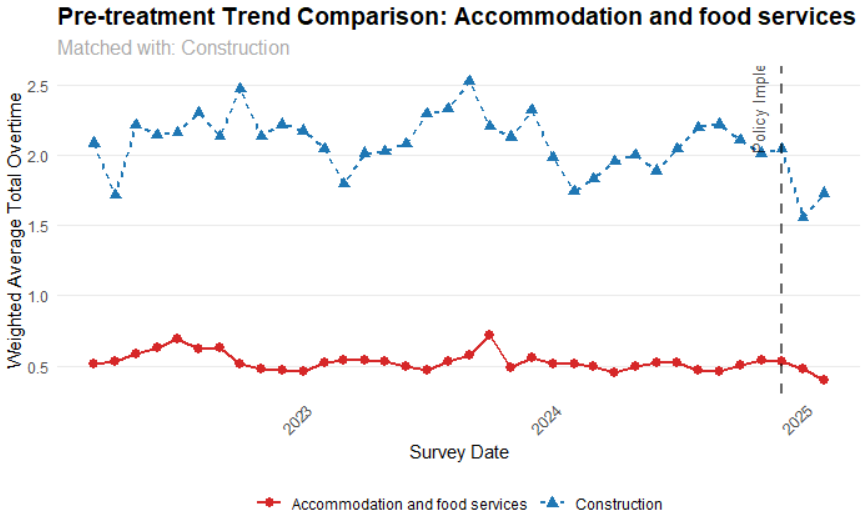

Figure 4: Parallel trend time series

Appendix 1: Theoretical Discussion of the transmission mechanism of Canada's Tax Holiday

In this section, I will present a simple theoretical framework of the transmission mechanism of this policy on labor market, and potential explanations for various responses.

The removal of the GST/HST is an direct reduction in price of relevant items, and hence should impose income effect and substitution effect on Canadians. The income effect makes Canadians effectively richer. Holding willingness to pay constant and quality of goods

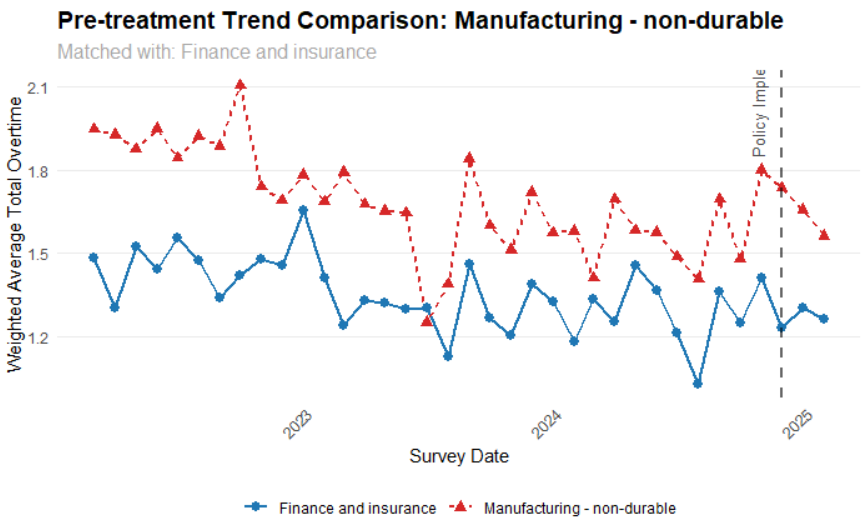

Figure 5: Parallel trend time series

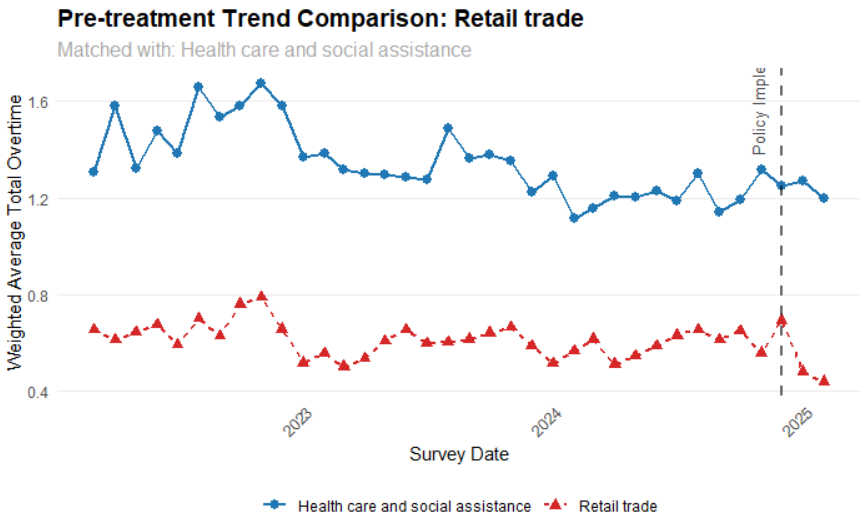

Figure 6: Parallel trend time series

constant, consumer that were initially marginally unwilling to make such consumptions due to to negative net utility are now subject to those consumptions as net utility change signs. In addition, the substitution effect shift more weight of consumption on relevant untaxed items. As the price of relevant items decrease relative to other items, it is more optimal to increase individual's consumption on untaxed items, and decrease their consumption on composites. Though the substitution effect would largely depend on how substitutable relevant items are due to their irreplaceable function. The two effects are predicted to work in the same direction, causing quantity demanded in the market to surge.

In additional to income and substitution effects, intertemporal substitution might also pull forward future spending, as noted by Aditya Aladangady et al.(2017). However, unlike durable goods, food service and groceries are highly depreciable, making it nearly impossible to pull forward future consumption. Hence in theory I do not expect intertemporal substitution effect to be a driving factor for surge in demand of goods.

Businesses in respond to this anticipated temporary tax holiday, could raise their price to replace the amount of tax break, like what Benzarti and Carloni (2019) have found in their study of permanent VAT cuts in France. They found firm owners benefited more than 55 percent of the VAT cut while consumers, and consumers benefiting the least. However, I argue Benzarti and Carloni's result cannot be extrapolate to Canada's context, because the VAT cut in France is a permanent policy, and also Canada's GST/HST is excluded from the prices on the menu, while VAT is included in prices in France. A permanent tax give rise to more long term benefit from raising price, while business might be reluctant to change their price during temporary shock due to menu cost. In addition, Canada having taxes excluded from menu prices makes it harder to jack up their prices without getting noticed by consumers. Hence given businesses inability to adjust their prices, there might be a mismatch between supply and demand in the goods market.

In response to an anticipated elevated demand, businesses have generally two choices: hire more workers or to increase the shifts of current employees.

Given the nature of this temporary tax holiday, it is less likely business would hire more workers in response to a surge in demand. Hiring new workers involves fixed cost such as posting job openings, interview, and training. Even though food service sector require relatively less human capital, businesses will not hire if long term discounted benefit of hiring is at least as large as hiring fixed cost.

Increasing shifts presents as a plausible action of firms in response to a surge in demand. In theory, employers simply match their marginal product of labor to the marginal cost of labor. However, this rely on the knowledge of the employer about their cost and anticipated demand. Even though I would expect nearly all employers were aware of this tax break, they might be reluctant to make any changes.

However, noting that restaurants typically have a fixed number of seats and tables, and stores have a fixed amount of space to display items. Businesses are effectively locked into their capital allocation in the short term, expanding its own work force in the short term might be very costly with minimal benefit. This might be a driving cause that deters

businesses from reacting to this tax break.

Overall, the effect of tax holiday on labor market is ambiguous. In theory, I would expect businesses to react to tax holiday by allocating more labor to satisfy surging demand. However, the adjusting friction and imperfect information might impede employers from making such decisions.